Note 12
Income Taxes

The components of income before income taxes for each of the years ended December 31 were as follows:

	2004	2003	2002
	(In thousands)		
United States	$280,764	$278,143	$233,536
Foreign	20,277	3,342	1,138
Income before income taxes	$301,041	$281,485	$234,674

Income tax expense for the years ended December 31 was as follows:

	2004	2003	2002
	(In thousands)		
Current:			
Federal	$47,625	$26,313	$46,389
State	12,231	7,408	9,082
Foreign	955	264	---
	60,811	33,985	55,471
Deferred:			
Income taxes --			
Federal	28,556	55,660	26,373
State	5,422	9,861	4,632
Foreign	(223)	(338)	338
Investment tax credit	(592)	(596)	(584)
	33,163	64,587	30,759
Total income tax expense	$93,974	$98,572	$86,230

Components of deferred tax assets and deferred tax liabilities recognized at December 31 were as follows:

	2004	2003
	(In thousands)	
Deferred tax assets:		
Regulatory matters	$ 39,212	$ 37,072
Accrued pension costs	18,754	12,122
Asset retirement obligations	12,197	7,017
Deferred compensation	9,938	9,090
Bad debts	2,266	3,188
Deferred investment tax credit	724	954
Other	29,237	21,269
Total deferred tax assets	112,328	90,712
Deferred tax liabilities:		
Depreciation and basis differences on property, plant and equipment	450,237	406,589
Basis differences on natural gas and oil producing properties	124,788	105,826
Regulatory matters	15,192	10,663
Other	13,826	9,309
Total deferred tax liabilities	604,043	532,387
Net deferred income tax liability	$(491,715)	$(441,675)

As of December 31, 2004 and 2003, no valuation allowance has been recorded associated with the above deferred tax assets.

The following table reconciles the change in the net deferred income tax liability from December 31, 2003, to December 31, 2004, to deferred income tax expense:

	2004
	(In thousands)
Change in net deferred income tax liability from the preceding table	$ 50,040
Deferred taxes associated with acquisitions	(16,189)
Other	(688)
Deferred income tax expense for the period	$ 33,163

Total income tax expense differs from the amount computed by applying the statutory federal income tax rate to income before taxes. The reasons for this difference were as follows:

Years ended December 31,	2004		2003		2002	
	Amount	%	Amount	%	Amount	%
	(Dollars in thousands)					
Computed tax at federal statutory rate	$105,364	35.0	$98,520	35.0	$82,136	35.0
Increases (reductions) resulting from:						
State income taxes, net of federal income tax benefit	11,468	3.8	11,857	4.2	10,279	4.4
Audit resolution	(8,818)	(2.9)	---	---	---	---
Foreign operations	(5,648)	(1.9)	(832)	(.3)	177	---
Depletion allowance	(3,418)	(1.2)	(3,117)	(1.1)	(2,200)	(.9)
Renewable electricity production credit	(3,404)	(1.1)	(3,395)	(1.2)	---	---
Other items	(1,570)	(.5)	(4,461)	(1.6)	(4,162)	(1.8)
Total income tax expense	$ 93,974	31.2	$98,572	35.0	$86,230	36.7

In 2004, the Company resolved federal and related state income tax matters for the 1998 through 2000 tax years. The Company reflected the effects of this tax resolution and, in addition, reversed liabilities that had previously been provided and were deemed to be no longer required, which resulted in a benefit of $8.3 million (after tax), including interest.

The Company considers earnings from its foreign equity method investment in a natural gas-fired electric generating facility in Brazil to be reinvested indefinitely outside of the United States and, accordingly, no U.S. deferred income taxes are recorded with respect to such earnings. Should the earnings be remitted as dividends, the Company may be subject to additional U.S. taxes, net of allowable foreign tax credits. The cumulative undistributed earnings at December 31, 2004, were approximately $22 million. The amount of unrecognized deferred tax liability associated with the undistributed earnings was approximately $5 million.

The Company has evaluated the repatriation provisions of the American Jobs Creation Act of 2004 (Act), which was enacted on October 22, 2004. The provisions of the Act permit corporations to elect an 85-percent deduction for certain qualifying dividends received during 2005 from controlled foreign corporations. The deduction is only available to the extent that the dividend is in excess of an historical base-period average and if the dividend is invested in the United States pursuant to a qualifying domestic investment plan. At this time, the Company does not anticipate that it will be receiving dividends qualifying for this election during 2005.